Indian concern about China's naval ambitions has many facets. At the core is India's fear of Chinese encirclement as China develops a naval and maritime presence in the Indian Ocean Region in addition to its growing footprint on land. More specifically, India is concerned with Chinese investments in ports and facilities in the region. For instance, China is seeking access to the Bay of Bengal by financing the construction of a deep-water port in Kyaukpyu in Myanmar; India has responded by doing the same a little further to the north, in Sittwe. While Chinese investments in port facilities in Pakistan, Sri Lanka, and Myanmar are a far cry from the military bases rumoured to be planned, and Chinese submarines docking in Sri Lanka and Pakistan only to refuel en route to anti-piracy operations in the Gulf of Aden,[90] any Chinese presence will still be met with reservation by Modi's government, which sees the China–Pakistan nexus as a threat to the stability of the Indian Ocean Region. The area holds great strategic importance to India, as nearly 90 percent of India's trade and energy (by volume) is transported by sea.[91] Thus, India is increasing its cooperation with littoral states in the IOR, through, for example, Prime Minister Modi's policy Security and Growth for All in the Region (SAGAR).[92] To strengthen its geopolitical positioning vis-à-vis China, New Delhi has made agreements with several littoral Indian Ocean Region states for access to military bases, such as with Indonesia's deep-sea Sabang port and Oman's Duqm port.[93]

As mentioned, India is also concerned with increased Chinese naval activities in the Indian Ocean. In late 2016, the Pakistani and Chinese navies began their fourth joint exercise. Although these such joint exercises are not new, this one was significant, as it focussed on the CPEC. The explanation for this focus was that the development of Gwadar port, and the expected flow of trade through it, was making "trust and co-operation between the two navies"